

## **CONFIDENTIAL**

### **Merchant Growth Platform – Strategic Architecture Whitepaper**

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#### **1. Executive Summary**

The Merchant Growth Platform is designed as a structural evolution of the existing Merchant Cash Advance (MCA) model. The current MCA business generates transactional revenue through spread capture and capital deployment. While profitable, it is inherently cyclical, capital intensive, and sensitive to macroeconomic and underwriting shifts. This proposal introduces a recurring subscription layer that operates alongside MCA originations but remains contractually independent.

The objective is not merely to create an ancillary product line. The objective is to build a recurring EBITDA engine that compounds over time, increases enterprise valuation multiples, reduces merchant default risk, and materially improves agent retention. This subscription platform transforms the company from a pure funding intermediary into a merchant performance infrastructure provider.

In practical terms, the MCA engine produces cash flow. The subscription platform produces enterprise value. Together, they create a balanced economic model consisting of short-term liquidity generation and long-term asset creation.

#### **2. Strategic Context & Market Dynamics**

The MCA market faces several structural realities: tightening underwriting standards, increased competition, margin compression, stacking exposure, and merchant volatility. Agent turnover remains high due to the transactional nature of compensation. Revenue is often dependent on capital access rather than operational merchant improvement.

Simultaneously, small and mid-sized businesses consistently underinvest in automation, marketing systems, financial visibility, and customer reactivation tools. This underinvestment leads to unstable revenue cycles, cash flow stress, and repeated reliance on short-term funding products.

By introducing structured financial visibility tools and revenue acceleration systems, the platform directly improves merchant performance. Improved performance lowers default

risk, increases lifetime value, and strengthens future funding eligibility. The subscription layer therefore acts as both revenue generator and risk mitigation tool.

From a valuation perspective, recurring revenue businesses command materially higher multiples than transactional capital businesses. Building a subscription contribution EBITDA layer creates an asset that can be valued independently of capital spreads. This provides optionality for capital raises, strategic partnerships, or exit scenarios.

### **3. Product Architecture – Detailed Design**

#### **3.1 Tier 1 – Merchant Essentials (\$199/month)**

Tier 1 is structured around financial discipline and operational visibility. Many small businesses lack consistent forecasting tools and proactive expense analysis. This tier integrates bank-level reporting dashboards, 30-day forecasting projections, weekly performance summaries, AI-based expense categorization, credit monitoring, fraud alerts, and tax reserve allocation reminders.

The intended outcome is behavioral correction. Merchants gain structured awareness of revenue trends, expense concentration, and risk indicators. Improved discipline reduces volatility and increases long-term funding viability.

#### **3.2 Tier 2 – Growth Accelerator (\$429/month)**

Tier 2 builds on financial stability and introduces structured revenue acceleration. It includes Google Business optimization, automated review capture systems, SMS and email marketing automation, CRM infrastructure, AI chatbot lead capture, and reputation monitoring.

This tier targets merchants who have operational stability but lack consistent inbound lead systems. The expected merchant outcome is improved lead generation, customer reactivation, and structured marketing cadence.

#### **3.3 Tier 3 – Elite AI Revenue System (\$749/month)**

Tier 3 introduces AI-driven growth systems, including automated lead generation campaigns, appointment booking automation, database reactivation, conversion funnel builds, competitive ad intelligence, advanced forecasting tools, and dedicated success support.

This tier positions the platform as a revenue optimization partner rather than a tool provider. It is margin-accretive and targeted toward aggressive operators seeking structured scale.

COGS are managed conceptually through white-label SaaS partnerships and scalable technology infrastructure. The platform is intentionally structured to maintain high gross margins while supporting aggressive commission structures.

#### **4. Subscription Term Design & Behavioral Economics**

Three subscription structures are offered: Month-to-Month, 6-Month Agreement, and Annual Agreement. Each serves a behavioral purpose. Month-to-month removes friction and maximizes initial adoption. The 6-month structure introduces moderate commitment and aligns with churn risk mitigation. The annual option enhances revenue predictability and improves EBITDA visibility.

Commission is calculated on collected revenue only and paid monthly. This eliminates non-payment exposure, simplifies accounting, and protects platform cash flow.

#### **5. Platform & Agency Infrastructure**

Individual agents pay a \$99 monthly platform fee, providing CRM tools, reporting dashboards, quoting infrastructure, training systems, and compliance resources. This ensures quality participation and filters inactive agents.

Agency tier pricing scales based on the number of agents supported. Production-based fee waivers incentivize output and align agency leadership with performance objectives.

Commission pools are capped per tier (50%, 60%, 70%). Agency and agent allocations must remain within that pool. Agency leaders maintain flexibility in structuring internal splits, subject to production eligibility tiers.

#### **6. Commission Architecture – Strategic Summary**

Commission decays every three months during the first 12 months, aligning with historical churn concentration in months 4–6. Months 1–3 provide the highest payout, followed by structured reductions. After month 12, a flat residual applies, contingent upon production requirements.

An MCA pairing enhancement increases months 1–3 commission by 5%, encouraging bundled adoption without increasing long-term liability.

#### **7. Financial Modeling & Projection Analysis**

Modeling assumes 100 active agents, with 70% consistently producing. Producing agents average 4 subscriptions per month, resulting in approximately 280 new subscriptions monthly at steady state. Product mix: 60% Tier 2, 25% Tier 3, 15% Tier 1. Blended average subscription value approximates \$485.

### 7.1 Scenario A – Conservative (6-Month Average Lifespan)

| Month | Active Subs | Monthly Revenue | Contribution EBITDA |
|-------|-------------|-----------------|---------------------|
| 1     | 280         | \$135,800       | \$40,740            |
| 2     | 560         | \$271,600       | \$81,480            |
| 3     | 840         | \$407,400       | \$122,220           |
| 4     | 1120        | \$543,200       | \$162,960           |
| 5     | 1400        | \$679,000       | \$203,700           |
| 6     | 1680        | \$814,800       | \$244,440           |
| 7     | 1680        | \$814,800       | \$244,440           |
| 8     | 1680        | \$814,800       | \$244,440           |
| 9     | 1680        | \$814,800       | \$244,440           |
| 10    | 1680        | \$814,800       | \$244,440           |
| 11    | 1680        | \$814,800       | \$244,440           |
| 12    | 1680        | \$814,800       | \$244,440           |

Under conservative retention, contribution EBITDA stabilizes between \$2.5M–\$3.5M annually.

### 7.2 Scenario B – Moderate (9-Month Average Lifespan)

| Month | Active Subs | Monthly Revenue | Contribution EBITDA |
|-------|-------------|-----------------|---------------------|
| 1     | 280         | \$135,800       | \$54,320            |
| 2     | 560         | \$271,600       | \$108,640           |
| 3     | 840         | \$407,400       | \$162,960           |
| 4     | 1120        | \$543,200       | \$217,280           |
| 5     | 1400        | \$679,000       | \$271,600           |
| 6     | 1680        | \$814,800       | \$325,920           |
| 7     | 1960        | \$950,600       | \$380,240           |
| 8     | 2240        | \$1,086,400     | \$434,560           |
| 9     | 2520        | \$1,222,200     | \$488,880           |
| 10    | 2520        | \$1,222,200     | \$488,880           |
| 11    | 2520        | \$1,222,200     | \$488,880           |
| 12    | 2520        | \$1,222,200     | \$488,880           |

Under moderate retention, annualized contribution EBITDA scales toward \$5M–\$6.5M.

## 8. Valuation Implications

At a 6x multiple on contribution EBITDA, the subscription platform implies a valuation component of \$15M–\$20M under conservative retention and \$30M–\$40M under moderate retention. Higher retention materially increases enterprise value independent of MCA spreads.

## **9. Risk & Mitigation Framework**

Primary risks include early churn, production decline, and subscription fatigue. Mitigation mechanisms include commission decay alignment, production-based residual requirements, structured term incentives, and controlled buyout eligibility.

This architecture balances aggressive front-end compensation with disciplined long-term margin protection and enterprise scalability.